

Superior 21-day risk-adjusted trades: what comes before them

S&P 500 + 400, every eligible name, 2015 to 2026-10-09 close. No Gaussian statistics: no standard deviation, variance, z-scores, Sharpe, regression or correlation.

One multi-factor setup beats SPY on risk-adjusted return: the **V-recovered leader**. **32.4%** of its 21-day trades were superior, against 20% for all names, and **33.0%** in the 2024 to 2026 hold-out that was never used to choose it. Its book beat SPY on MAR in every test period. Tonight it fires on **IDCC, PLTR, SWKS**.

Superior, as measured

- Signal at the close. Buy the next open. Stop 8% below entry; a gap through the stop fills at that open. Otherwise exit at the close 21 sessions later.
- Score: excess return over SPY for the same holding period, divided by the deepest drawdown suffered during the trade, floored at 2%.
- Superior: the top 20% of the universe for that entry date. The base rate is 20% in every volatility quintile, so low-volatility names do not win it by default.

The V-recovered leader: the characteristics

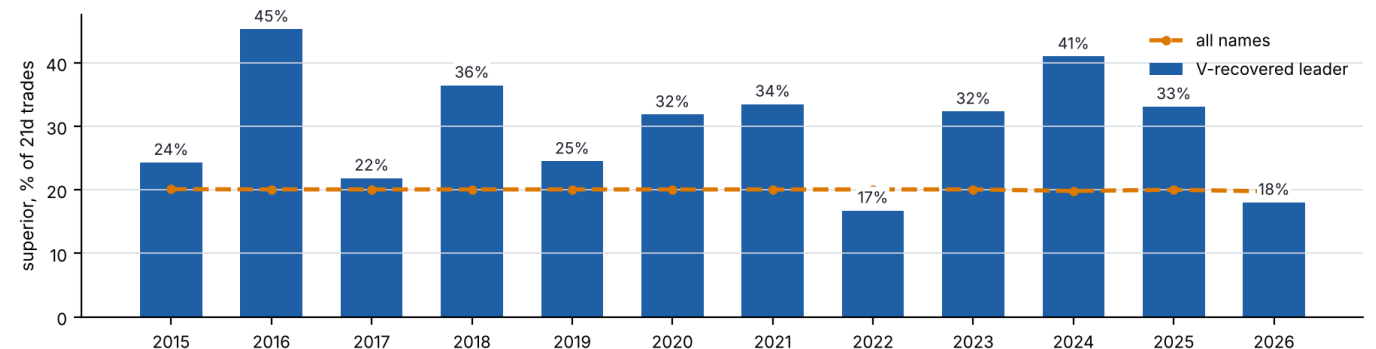
Leg	Rule, ranked against the universe that day	Characteristic	V-recovered leader, median	Universe, median
1. Crash	Deepest drawdown of the last 6 months in the bottom 20%	Deepest drawdown, last 6 months	-28%	-17%
2. Repair	Least depth below its running high over the last 3 months, top 20%	Average depth below running high, last 3 months	-1.4%	-3.9%
3. Leadership, any one	6-month return vs its sector, RS line vs its 52-week high, or 1-year up-capture in the top 20%	6-month return vs its sector	+16%	+0.3%
Sector	Not Energy, Materials or Utilities: there the same pattern was superior only 13% of the time before 2024 and 2% since	Distance to 52-week high	-2.5%	-9.4%
		Sessions since 52-week high	5	65
		ROC 21 sessions	+9.9%	+1.2%
		ROC 63 sessions	+40.9%	+3.8%
		Path efficiency, 63 sessions	0.34	0.05
		Up days' share of 63-session volume	62%	52%
		Share of last 63 sessions at a 63-session high	24%	8%
		Volume, 21 sessions vs 1 year	0.94x	1.00x
		Typical daily move vs its own year	29th pctile	50th pctile
		L1 beta, 1 year	1.49	1.02

Found on 2015 to 2020 and confirmed on 2021 to 2023. It was picked because it had the largest confirmation lift among rules with at least 800 confirmation cases. The 2024 to 2026 hold-out was never used to choose it.

Record

	Superior 21d	Superior 42d	Superior 63d	Median excess 21d	Mean excess 21d	Stopped at -8%
V-recovered leader	32.4%	30.3%	28.4%	+0.9%	+2.7%	32.3%
All names	20.0%	20.0%	19.9%	-0.8%	0.0%	28.1%

- 5,974 completed trades on 283 names. Superior rate 32.7% where it was found, 31.0% in confirmation, 33.0% in the hold-out.
- Not a beta effect: names in the same L1 beta quintile on the same dates were superior 21.2% of the time.
- Stricter cuts score higher: 10% cut 39.0%; 15% cut 36.2%; 20% cut 32.5%; 25% cut 26.9%; 30% cut 25.0%.
- With SPY within 5% of its 52-week high: 33.2%. With SPY more than 5% below it: 26.8%.



Against SPY

Same trade rules for every name, 10 bp round trip, 21 staggered monthly books marked daily. MAR is CAGR divided by the deepest drawdown. The COVID window, February to June 2020, is out of every fit, so it is out of the books.

Period	V-recovered leader: CAGR / max DD / MAR	SPY: CAGR / max DD / MAR
2017 to 2019	12.9% / -15.6% / 0.83	14.8% / -19.3% / 0.77
2021 to 2023	16.4% / -16.9% / 0.97	10.5% / -24.5% / 0.43
2024 on	43.5% / -18.0% / 2.41	21.2% / -18.8% / 1.13



The setup book holds a median of 2 names on the days it fires.

Adds

Share of 21-day trades that were superior; the base rate is 20%.

Characteristic	2015 to 2023	2024 on
V-recovered leader	32.1%	33.0%
Own 3-year record of superior trades, top 20%	20.9%	22.0%
Days in the top 20% on trailing risk-adjusted return, top 20%	20.8%	22.1%
Same calendar window in prior years, top 20%	20.7%	21.5%
Up on SPY down days, top 20%	22.0%	20.4%
Report due, from its quarterly volume spikes	21.5%	21.0%

Detracts

Spike, then pullback worked through 2023 and flipped in 2024.

Characteristic	2015 to 2023	2024 on
Same V-recovery in Energy, Materials or Utilities	12.6%	2.3%
Spike, then pullback to the 21-day low	27.5%	8.2%
Crash repaired with no leadership	18.6%	18.4%
Own 3-year record of superior trades, bottom 20%	18.9%	17.1%
Days in the top 20% on trailing risk-adjusted return, bottom 20%	19.2%	18.1%
Same calendar window in prior years, bottom 20%	19.2%	19.3%
Up on SPY down days, bottom 20%	19.0%	18.3%

Who stops you out

The strongest signal in the whole set. Share of trades stopped at -8%, 2024 on. These names do not score worse on risk-adjusted return because their winners are bigger; they are the ones that whipsaw.

Characteristic	Top 20%	Bottom 20%
Typical daily move	48.8%	16.0%
Own stop-out rate over the last year	47.1%	16.2%
L1 beta	46.5%	19.1%

Tonight, 2026-10-09 close

Ticker	Company	Leadership legs met	6m drawdown	Off 52w high	ROC 21d	ROC 63d	L1 beta
IDCC	Interdigital Inc	up-capture	-33%	-15.9%	-4.4%	+26.7%	1.44
PLTR	Palantir Technologies Inc	6m vs sector, RS line at high, up-capture	-33%	0.0%	+26.0%	+60.8%	2.15
SWKS	Skyworks Solutions Inc	up-capture	-32%	-16.5%	-9.1%	+31.1%	1.62

Near misses, every leg within 10 points: DOCS, ELF, GAP, HPE, MORN, NOW, SMCI, TECH, WEX. Fires but excluded by sector: RGLD.

What did not work

174 non-Gaussian characteristics, 2.28 million name-days. AUC ranks names within each day; 0.50 is a coin flip.

Test	Out-of-sample result
Best single characteristic: own 3-year record of superior trades	AUC 0.517
Simple score, features chosen on 2015 to 2020, tested 2021 on	AUC 0.514; top 10% of names superior 21.5%
Walk-forward tree models, five versions	AUC 0.497 to 0.517; top 10% superior 20.6% to 21.5%
Same models on shuffled labels	AUC 0.497
FINRA short interest, 2018 on	AUC 0.496 to 0.507
58 rules found 2015 to 2020, confirmed 2021 to 2023	2024 on: median lift 0.65; 17% beat the base rate

Code and data: `pvv_score/ra21` on branch `claude/practical-hamilton-sspq2e`. `README.md` there lists every feature family and test.